

Completed Analysis — Summary

Prepared for the Lunar Investments Committee · Confidential

EXECUTIVE SUMMARY

Faheem's completed analysis of Jahez Group (Tadawul: 6017) is summarized below for Investment Committee review. **Methodology:** a discounted cash flow (FCFF) model, discounted at a CAPM-derived WACC of **13.31%** (4.6% risk-free + 1.82x comp-set beta at a 5.0% equity risk premium, for a 13.7% cost of equity) with a 3.0% Gordon terminal growth rate, cross-checked against **trading-comps triangulation** (EV/Revenue, EV/EBITDA and P/E across Talabat, DoorDash and Delivery Hero).

Company	Jahez
Sector	Quick-commerce / food delivery
Stage	Analysis complete (in Investment Committee review)
Origin	Market screen — SAHMK/Argaam screen · 2026-07-08
Analyst	Ali

FY2025 GMV reached SAR 7,245.2m (+10.8% YoY) on a take rate of 15.4% and an average order value of SAR 64.90, while net income compressed 61.2% YoY to SAR 73.0m — driven by SAR 55.4m of Q4-2025 one-off items (Red Color impairment, Marn goodwill impairment, Others-segment ECL, Snoonu deal costs) layered on take-rate pressure from the Keeta-led price war. Gross margin — the closest disclosed proxy for contribution margin per order — fell to 22.8% (FY2024A: 24.4%), and adjusted EBITDA margin contracted to 8.3% (FY2024A: 11.3%). Q1-2026 printed a SAR 9.2m net loss. The balance sheet carries SAR 16.6m of net cash — SAR 510.7m of cash and equivalents, less SAR 161.2m of debt and SAR 332.9m of IFRS-16 lease liabilities.

INVESTMENT COMMITTEE METRICS

The table below is the analyst’s summary output — the figures the Committee compares against the mandate hurdle and against other live opportunities in the pipeline.

METRIC	VALUE
Implied IRR at entry	17.1%
Mandate hurdle rate	15.0%
Scenario-weighted expected return	16.8%
Quantified risk score (1 = lowest, 10 = highest)	5.5 / 10
Mandate fit	Pass
Shariah screen	Pass

Implied IRR of 17.1% clears the 15.0% hurdle by 210 basis points at entry. The scenario-weighted expected return of 16.8% — which blends bull, base, and bear cases — remains above the hurdle even after weighting for downside scenarios, indicating the base-case return is not solely dependent on the bull case materializing.

Recommendation: BUY — strongest when weighted return clears the mandate hurdle; committee decides.